Econ 182: Presenting "Wage Rigidity and Job Creation" by Haefke, Sonntag, and Rens

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Context: How Does the Paper Relate to Lecture Material

- This paper relates to wages over a business cycle, and in the matching models lectures we watched
  - The study dives into the relationship between productivity and wage and relates to our discussions about wage rigidity

Question: What is the Research Question Addressed by the Paper?

- The paper searches for evidence "for rigidity in the present value of wages of newly hired worker"
  - Are new-hires' wages stiff during market fluctuations?

Answer: What Are the Main Elements of the Answer to the Research Question?

- studying the elasticity of wages in relation to productivity
- analysis of data that comes from Current Population Survey since 1979
  - Gives insight on wages and hours worked from 1979-2006 on a sample of 25,000 individuals

Table 7
Exogenous changes in productivity.

	Wage per hour		Earnings per person	
	All workers	New hires	All workers	New hires
Corrected labor productivity				
Elasticity wrt productivity	0.33	1.07	0.43	1.00
Std. error	0.18	0.47	0.19	0.55
TFP				
Elasticity wrt productivity	0.26	1.03	0.33	0.82
Std. error	0.19	0.48	0.20	0.55
TFP, corr. for factor utilization				
Elasticity wrt productivity	0.19	1.06	0.29	1.07
Std. error	0.18	0.58	0.23	0.70

Figure: Exogenous Changes in Productivity

Graphical illustration of the Answer to the Research Question

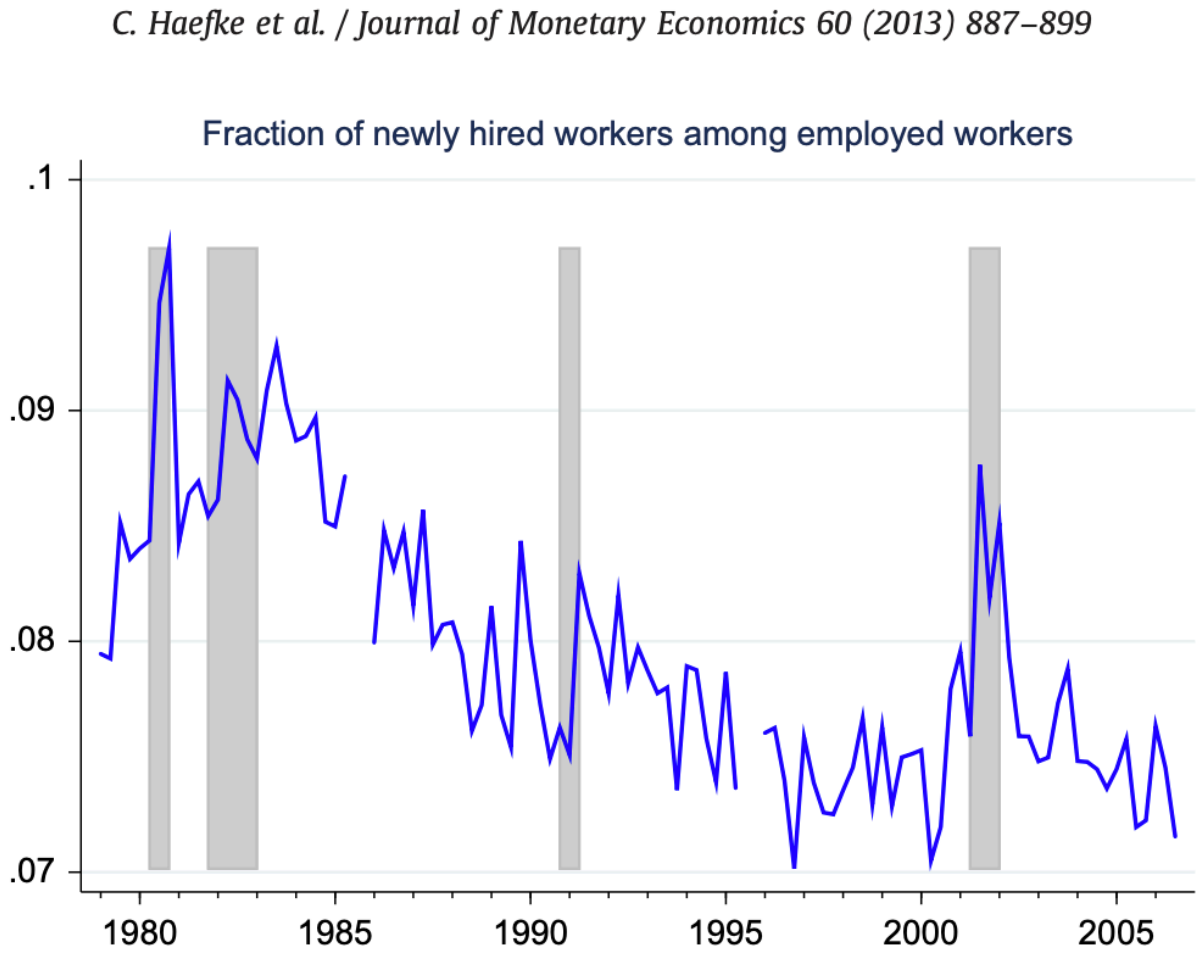

Figure: Fraction of newly hired workers among employed workers

Positioning: How Does the Material in the Paper Contribute to the Previous Literature?

- The analysis agrees with previous wage literature in long-term wage contracts
  - (Rudanko, 2009: risk neutral employers keep wages sticky for long term employees for less risk averse workers.)
- Provides a reasonable elasticity estimate for search and matching models

Conclusion

- The wages of new hires react almost one-to-one in relation to productivity fluctuations
  - The wages of "job changers" also fluctuates similarly to that of new hires coming from unemployment.
- The wage levels of continuing workers was much stickier than the other scenarios, not lowering in low production times, but also not rising as high in moments of high production